Fabrinet (NYSE: FN) — Independent Buy-Side Research Memo

Date: 29 October 2026

Sector: Optical Communications / AI Infrastructure / Advanced Manufacturing

Share Price: c.$360

Current View: Watchlist (Yep, Analysis from August last time)

Investment View

Fabrinet is clearly benefiting from the current build-out in AI infrastructure, particularly through data-centre networking and optical communications. The more difficult question is whether the company can turn this growth into durable free cash flow once the current expansion phase settles.

FY2026 revenue reached $4.64 billion, up 35.7%, while net income rose 42.3% to $473 million. Data-centre revenue accounted for almost half of group sales, with communications infrastructure contributing another third.

Those numbers are strong. The issue is that free cash flow has not kept pace.

For me, that is where the investment case now sits.

Business Quality

Fabrinet is often grouped with contract manufacturers, but that description understates the complexity of what it does.

The company manufactures and integrates optical and electro-mechanical products for large technology customers. Its work includes optical packaging, precision manufacturing, PCB assembly, integration and testing.

The value of the business lies less in proprietary products and more in process capability. Customer programmes often require lengthy qualification periods, close engineering collaboration and specialised production setups. Once a product has been qualified and moved into volume production, switching suppliers is not frictionless.

That does not make Fabrinet a software-like business, but it does make it more defensible than a generic low-value EMS provider.

Growth and Customer Mix

FY2026 revenue was approximately:

End Market	Revenue	Share
Data Centre	$2.23bn	47.9%
Communications Infrastructure	$1.55bn	33.3%
Automotive, Industrial & Other	$0.87bn	18.8%

Customer concentration remains high. Cisco represented 19.9% of revenue, NVIDIA 16.3%, Nokia 10.7% and Amazon 10.5%.

The more encouraging point is that NVIDIA concentration has fallen materially over the past two years while total revenue has continued to grow. That suggests the company is becoming less dependent on one customer rather than simply losing NVIDIA business.

This matters because the long-term case is stronger if Fabrinet becomes a broader optical-manufacturing platform rather than a manufacturing proxy for one AI customer.

The Cash-Flow Issue

FY2026 exposed the main weakness in the story.

Accounting earnings were strong, but operating cash flow was much weaker and free cash flow was close to zero.

The main reason was not a collapse in profitability. Fabrinet was absorbing significant amounts of cash into working capital and capacity expansion.

Receivables increased sharply and inventory also rose as production activity expanded. At the same time, the company continued investing in new manufacturing capacity.

There are two possible interpretations.

The negative interpretation is that Fabrinet is simply becoming more capital intensive as it grows. If every additional dollar of revenue requires large increases in inventory, receivables and capital spending, then earnings growth will consistently overstate the value being created for shareholders.

The more favourable interpretation is that the current cash-flow weakness is largely transitional. Fabrinet is building ahead of demand, qualifying new programmes and preparing new capacity. If growth eventually moderates and utilisation rises, working-capital requirements should become less demanding and cash conversion should improve.

At this stage, I do not think the evidence is strong enough to settle that argument.

Balance Sheet

The company has one major advantage while working through this expansion: it does not need external capital to survive.

Fabrinet finished FY2026 with roughly $875 million of cash and short-term investments and very little financial leverage.

That gives management room to fund new capacity without relying heavily on debt or equity issuance.

From a downside perspective, this matters. Even if the cycle weakens, Fabrinet is not starting from a fragile financial position.

What the Current Price Implies

At around $360 per share, Fabrinet is worth roughly $13 billion in equity value.

Rather than focusing on the headline P/E, I think a more useful question is what level of sustainable free cash flow would justify that valuation.

At a 5% free-cash-flow yield, a $13 billion equity value implies roughly $650 million of annual free cash flow.

That creates a practical way to think about the stock.

If Fabrinet eventually settles at $350–450 million of normalized free cash flow, the shares still look expensive.

If normalized free cash flow reaches $600–750 million, the current valuation becomes much easier to justify.

If the business can sustainably generate $900 million or more, the market may still be underestimating the long-term economics.

So the real debate is not whether the company can keep growing revenue. It is whether that growth ultimately converts into around $700 million or more of recurring free cash flow.

How That Could Happen

The path is plausible, but several things need to go right.

Revenue probably needs to move toward the $7–8 billion range.

Operating margins need to remain around 10–11%.

Working capital cannot continue growing materially faster than sales.

And current expansion spending eventually needs to fall back toward a more normal

maintenance level.
If that happens, Fabrinet could move from a period in which cash is being absorbed by growth to one in which the existing asset base begins to release cash.
That transition is the main source of upside in the thesis.

What the Market Appears to Be Pricing

The stock has already gone through a significant reset.
It traded near $500 earlier in October before falling below $310 and then recovering toward the mid-$300s.
That decline suggests the market is no longer treating Fabrinet as a straightforward AI winner.
The concerns are understandable:

- cash conversion has been weak;
- customer concentration remains high;
- optical markets have historically been cyclical;
- new capacity is coming online;
- and the current AI infrastructure cycle may not continue at the same pace indefinitely.

At around $360, some of that optimism has clearly been removed, although I would not call the shares obviously cheap.

Where I May Differ From the Market

The bear case treats Fabrinet primarily as a low-margin contract manufacturer benefiting from an unusually favourable optical cycle.
The alternative view is that the company is becoming more important as optical systems become harder to manufacture.
Higher speeds, tighter tolerances and increasingly complex packaging may raise the value of Fabrinet's manufacturing capability even if the company never develops high gross margins.
If that is true, the market may be placing too much emphasis on the current lack of free cash flow and not enough on the cash-generating potential of the capacity being built today.
That is the part of the thesis I find most interesting.

Bear Case

The obvious risk is that the current cycle is simply stronger than normal rather than structurally different.
Fabrinet still operates at roughly 12% gross margins. If hyperscaler spending slows or optical demand enters an inventory correction, revenue growth could weaken at the same time that new capacity is coming online.
That would create operating deleverage.
The more damaging outcome would be a combination of slower growth, lower utilisation and multiple compression. In that scenario, Fabrinet would be re-rated as a cyclical manufacturer rather than a strategic AI-infrastructure supplier.
That is why the downside is not trivial even after the recent share-price decline.

Scenario Framework

Bear 🐻

Revenue settles around $5.5 billion and operating margin falls toward 9%.
In that environment, normalized earnings and free cash flow would be materially below what the current valuation requires.
Indicative value: **$265–285 per share**

Base

Revenue reaches roughly $6.5 billion with operating margin around 10.5%.
Cash conversion improves, but the business remains moderately capital intensive.
Indicative value: **$410–440 per share**

Bull 🐂

Revenue approaches $8 billion, operating margin reaches roughly 11%, and working-capital intensity begins to normalise.
Free cash flow moves toward or above $700 million.
Indicative value: **$590–620 per share**
These are scenario values rather than price targets.

What I Am Watching Next

Fabrinet reports fiscal Q1 2027 results on 2 November.
The headline EPS number matters less to me than the underlying cash-flow signals.
I will be watching:

- data-centre revenue growth;
- communications-infrastructure growth;
- inventory relative to sales;
- receivables;
- operating cash flow;
- new capacity utilisation;
- capital-expenditure guidance;
- hyperscaler programme ramps; and
- forward revenue guidance.

The most useful combination will probably be inventory and operating cash flow.
If revenue remains strong while working-capital growth begins to moderate, the investment case becomes more convincing.

What Would Make Me Change My Mind

I would become materially more cautious if:

- revenue growth falls below roughly 15% for a sustained period;
- operating margin moves below 9%;
- inventory continues rising materially faster than revenue;
- operating cash flow remains weak despite strong reported earnings;
- new capacity struggles to reach acceptable utilisation; or
- major customer programmes fail to scale.

A falling share price by itself would not change the thesis.
A deterioration in the company's long-term cash-generating ability would.

Conclusion

Fabrinet is now at a more interesting valuation than it was several months ago, but the current price still requires a meaningful improvement in long-term cash generation.
The business has several attractive characteristics: strong demand, a solid balance sheet,

improving customer diversification and exposure to increasingly complex optical manufacturing.
The unresolved issue is cash conversion.
If the current investment cycle eventually produces sustainable annual free cash flow of around $700 million or more, the recent sell-off may prove to have created a genuine opportunity.
If growth continues to consume large amounts of working capital and capital expenditure, the earnings growth will be less valuable than it appears.
For now, I am keeping Fabrinet on my watchlist and waiting for clearer evidence from the next earnings release.

Disclaimer

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Let's continue to wait and see.

Lawrence zhang